**Cambridge IGCSE™**

# ECONOMICS **0455/21**

Paper 2 Structured Questions **Predicted Hard**

**2 hours 15 minutes**

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

**INSTRUCTIONS**
- Answer four questions in total:
- Section A: answer Question 1.
- Section B: answer three questions.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.

**INFORMATION**
- The total mark for this paper is 90.
- The number of marks for each question or part question is shown in brackets [ ].

This document has 8 pages. Any blank pages are indicated.

## Section A

Read the source material carefully before answering Question 1.

**Source material: Kenya's coffee boom: opportunity or risk?**

| **Kenya fact file** | **2023** |
|---|---|
| Population | 55.1 m |
| Labour force | 25.4 m |
| Unemployment rate | 5.6 % |
| Inflation rate | 7.9 % |
| Current account balance (% of GDP) | – 5.1 % |

Kenya is a developing country in East Africa. Agriculture employs over 40% of the labour force. Coffee is one of the country's leading agricultural exports. Between 2021 and 2023, global coffee prices rose by 32%. A study estimated that the price elasticity of supply of Kenyan coffee is 0.4.

The Central Bank of Kenya raised its bank rate from 8.75% to 13% during 2023 to help control inflation. The Kenyan shilling depreciated by approximately 20% against the US dollar over the year. Kenya borrows in US dollars from international lenders.

Commercial banks in Kenya offer mobile banking services that allow low-income households to save and transfer money. The increasing availability of mobile banking has helped many households access finance for the first time. Table 1.1 compares human development indicators across four East African economies.

**Table 1.1 Selected development indicators for four East African countries in 2023**

| Country | GDP per head ($) | Adult literacy (%) | Life expectancy (years) |
|---|---|---|---|
| Ethiopia | 1 020 | 52 | 67 |
| Kenya | 2 180 | 82 | 66 |
| Rwanda | 880 | 75 | 69 |
| Tanzania | 1 220 | 81 | 67 |
| Uganda | 960 | 76 | 64 |

Some Kenyan coffee is processed by a small number of very large firms, while many farmers operate on small plots of land. Small-scale producers often sell at prices set by middlemen. Large processors have economies of scale; small farmers do not.

Kenya's government is considering policies to encourage industrialisation. It is debating whether to subsidise local manufacturing or to protect infant industries with tariffs.

Answer all parts of Question 1. Refer to the source material in your answers.

**1**

- **(a)** Calculate, using the source material, the percentage change in the quantity of Kenyan coffee supplied between 2021 and 2023. [1]
- **(b)** Identify two indicators, other than GDP per head, that can be used to measure living standards. [2]
- **(c)** Explain what is meant by price elasticity of supply. [2]
- **(d)** Explain two reasons why the price elasticity of supply of coffee may be low. [4]
- **(e)** Analyse the relationship between GDP per head and life expectancy shown in Table 1.1. [4]
- **(f)** Analyse, using a demand and supply diagram, the effect of a rise in global coffee prices on the Kenyan coffee market. [5]
- **(g)** Discuss whether or not raising the bank rate will reduce inflation in Kenya. [6]
- **(h)** Discuss whether or not a depreciation of the shilling benefits the Kenyan economy. [6]

[Total: 30]

## Section B

**Answer any three questions.**

Each question is introduced by stimulus material. In your answers you may refer to the material and/or other examples you have studied.

**2** India's economy grew by 7.2% in 2023. It is one of the fastest-growing large economies in the world. Income inequality in India remains high – the Gini coefficient is 0.36. The government uses both progressive taxation and welfare programmes.

**(a)** Define economic growth. [2]

**(b)** Explain two causes of income inequality within a country. [4]

**(c)** Analyse how progressive taxation may reduce income inequality. [6]

**(d)** Discuss whether or not a high rate of economic growth is always desirable. [8]

[Total: 20]

**3** Brazil's economy relies heavily on the export of soybeans and iron ore. These are primary commodities. World prices of primary commodities have been volatile. In 2023, Brazilian exports to China reached a record high.

**(a)** Identify two examples of primary sector products. [2]

**(b)** Explain two disadvantages of relying on the export of primary commodities. [4]

**(c)** Analyse the reasons why the prices of primary commodities may be volatile. [6]

**(d)** Discuss whether or not a country should diversify its exports. [8]

[Total: 20]

**4** In 2024, Spain's unemployment rate was 11.2%. Some regions in Spain have much higher unemployment than others. The Spanish government spends on training programmes and offers tax incentives to firms.

**(a)** Identify two types of unemployment. [2]

**(b)** Explain two supply-side policies a government may use to reduce unemployment. [4]

**(c)** Analyse the consequences of high regional unemployment. [6]

**(d)** Discuss whether or not fiscal policy is more effective than monetary policy in reducing unemployment. [8]

[Total: 20]

**5** The United Kingdom left the European Union in 2020. Since then, trade barriers between the UK and the EU have increased. In 2023, the UK signed new trade agreements with Australia and New Zealand.

**(a)** Identify two benefits to a country of joining a free-trade area. [2]

**(b)** Explain two reasons why a country may introduce trade barriers. [4]

**(c)** Analyse how a customs union differs from a free-trade area. [6]

**(d)** Discuss whether or not leaving a trading bloc benefits a country. [8]

[Total: 20]

**END OF PAPER**